GEOECONOMIC STRATEGY UNIT

West Asia Conflict Pushes Oil Prices Higher: Is Fuel Hike Approaching India Post-Elections?

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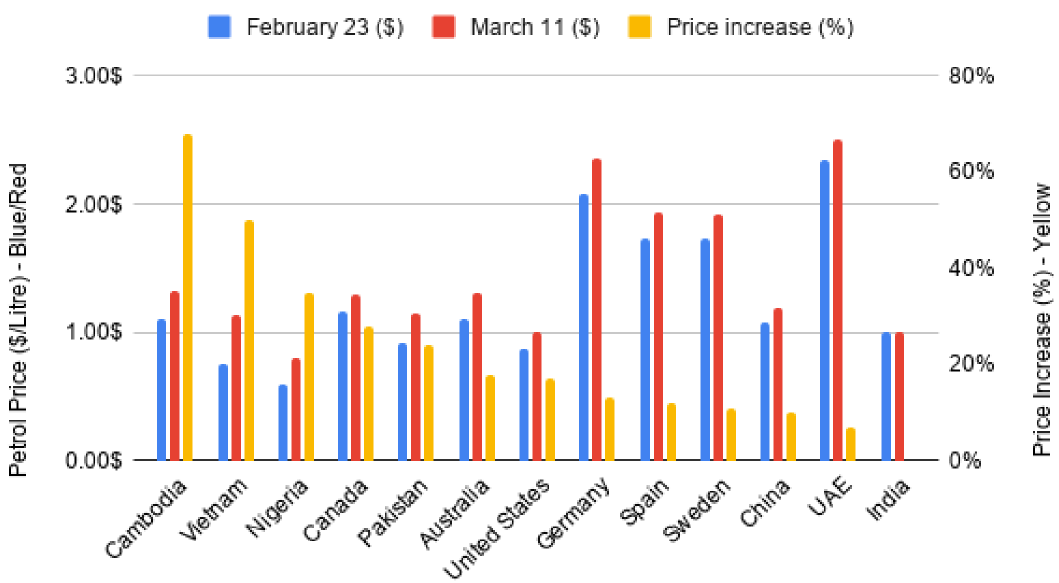
Petrol and diesel prices serve as leading gauges of industrial and consumer spending in India. Since the introduction of the dynamic daily price model in 2017, retail fuel prices have been revised in tandem with international crude prices and layered with excise duty, dealer's commission and charges, and VAT.

Prices at the pump carry considerable political weight. Despite the Gulf supply shock, petrol and diesel prices were kept steady, with the state-owned Oil Marketing Companies (OMC) IOCL, HPCL and BOCL absorbing pressure through old inventory, refining earnings or internal buffers.

India's petrol and diesel prices are officially deregulated, but because fuel prices affect inflation rates, elections, public sentiment, transport costs and fiscal balances, prices remain politically sensitive. Although the initial rationale behind stabilising prices amid West Asia conflict was consumer relief and macroeconomics stability, the OMC prices movements are historically rare during the election period. With state assembly elections now behind us in four major states, and West Bengal entering its last phase on 29th April, current pump prices reflect crude oil margins, taxes, exchange rates, inflation management as well as political statements. During the 2022 state elections, petrol and diesel prices were kept unchanged for 137 days, despite rising crude oil prices, before being raised incrementally after polling ended. In this context price revisions are as much as policy decisions as they are market-driven.

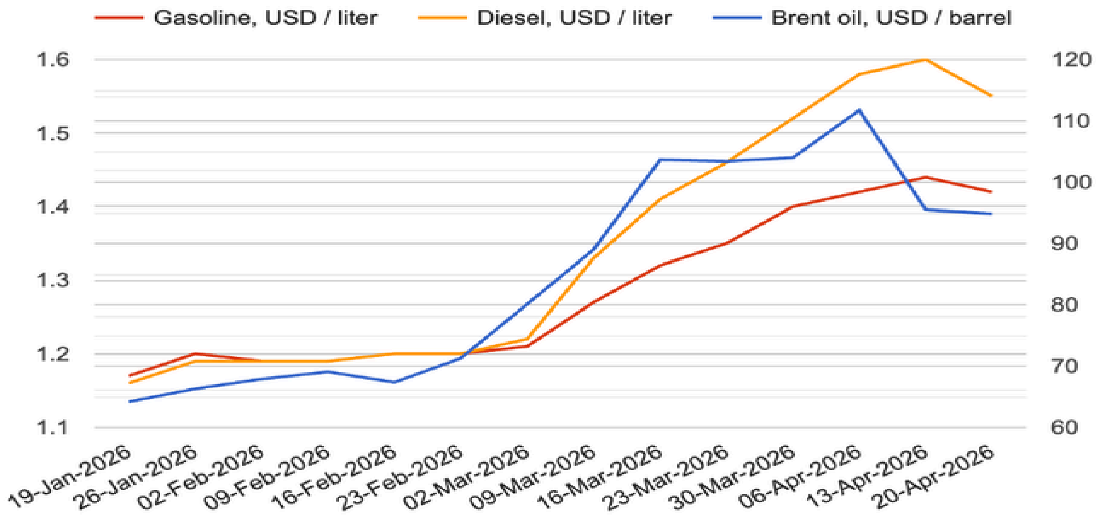
Immediate Political and Market Reaction

Rising petrol prices worldwide amid disruption to the Strait of Hormuz



Source: Datawrapper

Average gasoline, diesel (left) and Brent (right) prices in 175 countries accounting for 95% of global demand, weighted according to their share of consumption.



Source: GlobalPetrolPrices.com

- Fuel prices have risen across both net oil importers and exporters, although they have been most pronounced in the former. India stands out as an outlier amid rising global prices, with policy cushioning and tax measures absorbing much of the shock, although underlying pressure remains.
- On 26 March, India cut excise duties on petrol by 3 rupees ($0.0318) per litre, reducing it from 13 rupees, and cut the duty on diesel from 10 rupees to zero. Shares of Bharat Petroleum and HPCL initially rose more than 4% before trimming gains, while India's 10-year bond yield climbed to a 20-month high on concerns over the fiscal cost of the tax relief. Reuters reported that the government estimated a gross revenue hit of ₹70 billion per fortnight, partly offset by new export levies.
- This came ahead of the elections, suggesting that the government recognised that fuel inflation is politically sensitive and acted to cushion voters. Hardeep Singh Puri, the Minister for Petroleum and Natural Gas, said the government had taken a "huge hit" to revenues to reduce oil companies' losses, while Finance Minister Nirmala Sitharaman said authorities would ensure adequate supplies of petrol, diesel and jet fuel and shield citizens from price increases.
- Private retailer Nayara Energy increased petrol prices by ₹5/litre and diesel by ₹3/litre in late March, citing higher crude costs and rupee weakness. Shell India also showed visible hikes, especially in diesel. However, Reliance Industries has not raised prices as of the time of writing, despite losses.

Commercial Implications

- The state-owned OMCs have faced an estimated loss of $170.5 million or ₹1,600 crore per day due to the retail price freeze. In addition, OMCs are procuring refined products such as petrol, diesel, aviation fuel, and kerosine from domestic refineries at discounted rates to curb losses. Private fuel retailers, such as Reliance and Nayara, prioritise higher margins and have greater flexibility to adapt. They operate based on Import Price Parity (IPP) where the retail fuel prices are directly linked to the cost of importing the fuel. However, this has led to increased cost pass-through to customers, diminishing private market share as OMC prices remain stable.
- Standard Chartered lowered their GDP forecast, now projecting 7.3% growth in FY26 and 6.4% in FY27, reflecting geopolitical tensions and their economic spillovers. Driven by disruption to Gulf supply, inflation in March 2026 stood at 3.4% and is expected to reach 4% by end-April. Importantly, fuel prices increases will likely materialise only once election results are announced, with the full impact possibly becoming evident in May or June 2026.